Referee report

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"Housing First or Treatment First?"

June 11, 2026

I first want to deeply apologize to both the author and the editor for the delay in providing this review.

Contribution

This paper constructs a dynamic general equilibrium model of housing consumption, drug addiction, and homelessness to evaluate alternative policies, in particular providing housing assistance vouchers with and without conditioning on sobriety. The main finding of the paper is that expanding access to housing vouchers to all eligible individuals below a certain income (without rationing) is welfare improving, but substantially more so when combined with sobriety requirements that reduce moral hazard and drug addiction.

Major concern 1: Lack of connection to empirical evidence and stylized facts

- The nature of the model, with its large number of parameters, makes it relatively opaque. I believe it would be helpful for the paper to include a few stylized facts more prominently, notably on the empirically observed correlations between drug use, voucher receipt, and homelessness.
- Survival probabilities (especially their dependence on homelessness and drug use) and unemployment probabilities are an essential input into the model's calibration and welfare implications. It would be good to present more prominently some empirical evidence on their correlation with homelessness and drug use, which are currently borrowed from other papers but not always set transparently (for example for unemployment transition probabilities).
- Similarly, the relationship between income and drug use (severe or mild) is key to the calibration of b and the income-dependent penalties in the model ("to generate empirically realistic participation patterns — particularly the low prevalence of drug use among high-income individuals"), but its empirical counter-part does not feature very prominently in the paper. It would be helpful to get a sense of this joint distribution in the data.

Major concern 2: Modelling of drug addiction process

- The modelling of the benefits of drug consumption makes the calibration of welfare gains for alternative policies quite sensitive. In particular, reducing addiction lowers θ_d (the Cobb-Douglas weight on drug use in the utility function) and thus increases directly consumption utility from housing and non-housing, thus implying mechanically that policies reducing addictions and policies raising housing consumption are strong welfare complements even absent incentive effects. I am not sure there is an alternative model that would make more sense, but I would like the author to acknowledge and potentially provide more sensitivity to this modelling choice.

- I find the use of the Stone-Geary functional form to generate a large mass of non-users, combined with income-dependent penalties to generate the empirically relevant patterns of drug use by income very clever. However, I am unclear on what are the actual patterns of drug consumption this generates, and where heterogeneity in v (conditional on addiction status d) stems from. It would be very helpful to present model-derived stylized facts on drug use (in the baseline calibration) that present variation by income, employment status, housing status, assets,... and explain how they depend on model parameters (notably b, the Stone-Geary parameter, and $\aleph$, the value of life).

- Since drug use is "rational" and agents are forward-looking, the model should make clearer where externalities arise that generate welfare-improving government interventions. There are potentially many sources of fiscal externalities (fiscal cost per homelesss person, fiscal cost per addict, lost income taxes from extra unemployment probabilities) as well as potentially less obvious non-fiscal ones (loss of consortium, potential direct externalities from drug use not directly modelled in the paper). It would be helpful to make those appear analytically or numerically, and establish how optimal policies change when some of this channels are shut down.

- I am somewhat unclear how the elasticity of drug use to its price is targeted, given that the price of drugs p_v is normalized to 1. The author says they vary the price of drugs in the model, but this requires suppressing this normalization and potentially affects the definition of other prices in the model?

Minor concerns

- I am surprised that there is not a clearer role for the labor supply elasticity in welfare calculations, as it should matter quite substantially for the welfare costs of balancing the budget with extra labor taxes.

- Some of the results of the counter-factual experiments might be more helpfully presented in the form of graphs comparing outcomes and sensitivity to parameters, rather than tables - or example, for the sensitivity to the loss of consortium spillover, or to the value-of-life parameter $\aleph$.

- It would be helpful to provide a more continuous experiment that varies the probability of voucher receipt rather than go straight for full rationing to fully universal provision. This would help establish whether there is a Laffer curve of voucher generosity, or whether the corner solution of universal provision is indeed optimal, and what are the key parameters governing this.